Reg. No									

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

BM203 – FINANCIAL ACCOUNTING - II

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is new profit sharing ratio?
2. What is revaluation account?
3. Mention any two modes of dissolution of firm.
4. What is Proportionate capital method?
5. State any two objectives of branch accounts.
6. Give the meaning of Independent branches.
7. What do you mean by Departmental accounting?
8. Mention any two reasons for preparing departmental accounts.
9. What are the practical uses of average due date?
10. What is forward method?

SECTION – B (5 x 5 = 25)

Answer any FIVE questions

11. Ram drew the following bills of exchange on Mani during the year 2011.

Date of drawing of bills	Amount Rs.	Term
12th January	500	2 months
14th February	300	2 months
20th March	1000	1 month
4th April	500	1 month
15th May	600	2 months

Find out Average due date.

12. Distinguish between Departmental accounting and Branch accounting

13. Ram & Co has opened a branch at Salem. The following is a list of transactions between the head office and the branch for the year ending June 30, 2006.

	Rs.
Stock at branch on 31st July 2005	3,000
Goods supplied to branch during the year	48,000
Salaries	2,400
Rent	720
Telephone	200
Petty expenses	300
Remittance received from the branch	55,000
Stock on 30th June 2006	2,500
Balance of petty cash	20

All the branch expenses are paid by head office. Show the branch account in head office books.

14. What are the advantages of Departmental accounts?

15. Mala and Kala are in partnership with capitals of Rs. 30,000 and Rs. 20,000 respectively. Mala is entitled for a salary of Rs. 400 per month which is not yet drawn. Interest at 5% is allowed on capitals. There is no interest on drawings. During the year 2012, Mala withdrew Rs. 3,000 and Kala Rs. 2,000. The profits for the year 2012 before making any of the above adjustments is Rs. 12,000. The profit for divisible profits Mala is entitled for 60% and Kala 40% on the first Rs. 2,000, over that amount, profit is shared equally. Show Partners capital account.

16. Madan and Sadan were partners in a business. Their profit sharing ratio was 4:1. On 1.4.2005 their capitals were Madan Rs. 50,000, and Sadan Rs. 40,000. Their accounting year ends on 31.3. 2006. Profit for the year was Rs. 1,75,000.
Prepare Profit and Loss appropriation account the basis of the following information.

    (a) Interest on capital p.a. was 5%
    (b) Interest on Madan's loan account was Rs. 5,000
    (c) Drawings: Madan Rs. 15,000, Sadan Rs. 10,000. Interest on drawings is at 6% p.a.
    (d) Before sharing profit to partners, 10% must be transferred to reserve.

17. X, Y and Z are partners sharing profits and losses in the ratio of 2 : 2 : 1 respectively. Y is insolvent and his estate is unable to contribute anything. You are required to pass two journal entries as per Garner Vs Murray rule from the following information.

    Realization loss Rs. 1,20,000
    Deficiency in Y's Capital account Rs. 22,000
    Capital ratio of X and Z = 73 : 25

SECTION – C (3 x 10 = 30)

Answer any THREE questions

18. Arun withdrew the following amounts from the business

Due date	Rs.
15.01.1996	1,000
06.03.1996	1,500
21. 05.1996	500
24. 06.1996	1,000

Calculate:

(a) Average due date

(b) Interest on drawings @ 12%.

Assume that the financial year ends on 30th June 1996

19. From the following transactions prepare the Branch account

Opening stock of branch Rs. 36,200
Closing stock of branch Rs. Rs.33,140
Opening Branch Debtors Rs. 11,300
Closing Branch Debtors Rs. 6,040
Opening Petty cash at the branch Rs. 220
Closing Petty cash at the branch Rs. 140
Goods sent to branch Rs. 1,56,680
Branch expenses met by Head office Rs. 7,000
Cash sent by Head office to branch to meet petty expenses Rs. 1,040
Cash sales Rs. 1,68,200
Cash received from branch debtors Rs. 27,700

20. The following purchases were made by a business house having three departments

Department – A – 1,000 units
Department – B – 2,000 units } at a total cost of Rs. 1,00,000
Department – C – 2,400 units

Stocks on 1st January were

Department – A - 120 units
Department – B – 80 units
Department – C - 152 units

Sales were:

Department – A - 1,020 units at Rs. 20 each
Department – B – 1,920 units at Rs. 22.50 each
Department – C - 2,496 units at Rs. 25 each

The rate of gross profit is same in each case. Prepare Departmental trading account.

21. The following is the balance sheet of X and Y. Sharing profits is in the ratio of 3 : 2 as on 31. 12. 2006

Liabilities	Rs.		Assets	Rs.
Creditors	10,000		Cash	1,500
X - Capital	40,000		Debtors	6,500
Y - Capital	30,000		Stock	18,000
			Building	34,000
			Furniture	20,000
	80,000			**80,000**

They agreed to admit Z into partnership with a capital of Rs. 25,000. The new profit sharing ratio is 5: 3: 2. The following revaluation was made.

(i) Stock to be depreciated at 10%
(ii) Provision for Bad debts is to be Rs.500
(iii) Furniture to be depreciated at 5%
(iv) Buildings is valued at Rs.40,000

Prepare Revaluation account, Capital account and Balance sheet.

22. Explain the circumstance under which partnership may be dissolved.

****